Debt Coverage

This ratio is used to determine the time it would take a company to repay its short and long term debt from its income or internally generated funds. This is relevant if the debt is not to be extinguished through the sale of assets, or by the issue of fresh capital or debt.

For calculating this ratio, internally generated funds mean income after tax plus non-cash expenses such as depreciation, and non operating income and expenses. Debt would comprise of bank overdrafts, term loans and debentures. The ratio is calculated by dividing a company's internally generated funds by its average debt:

$$\text{Debt coverage ratio} = \frac{\text{Internally generated funds}}{\text{Average debt}}$$

Illustration

An extract of the financials of Pear Ltd. included the following:

	Previous Year *Rs. (crore)*	Latest Year *Rs. (crore)*
Net income before tax and depreciation		500
Depreciation		100
Net profit before tax		400
Tax		160
Net profit after tax		240
Bank overdraft	100	150
Debentures	400	380
Term loan	100	90
	600	520

Debt coverage ratio would be:

$$\frac{240+100}{0.5 \times (600+520)} = 0.60$$

This means that it would take Pear Ltd. 1.7 years to repay borrowers from its profits.